

Product Requirement Document (PRD)

Product: TaxPulse Engine – Next-Gen FinTech Tax Planning Experience

Owner: Piyush Kumar — Version: 1.0 — Status: MVP Approved Portfolio Project

1. Problem Statement Recap

User Problem: Indian taxpayers, especially young salaried professionals, find tax planning confusing, overwhelming, and only relevant during the March filing season.

Market Gap: Existing fintech applications focus almost exclusively on tax filing rather than continuous, year-round planning.

Resulting Issues: Low awareness of eligible deductions, last-minute panic tax-saving investments, incomplete user financial profiles, and weak monetization for parent fintech platforms.

1.1 Core Challenge

The fundamental challenge is to design an automated Tax Planning Module that drives four primary business and product pillars:

1. **User Acquisition:** Attract users actively seeking tax optimization and guidance.
2. **User Engagement:** Provide simple, actionable insights, explainers, and interactive tax scoring.
3. **Data Collection:** Progressively collect structured financial data (income, deductions, rent, investments).
4. **Monetisation:** Enable contextual cross-sell of ELSS mutual funds, NPS, health insurance, and advisory services.

1.2 Market Opportunity

Deliver a highly personalized, smooth, year-round tax experience that improves user financial health while enabling sustainable business growth for the parent platform.

2. Product Vision

Vision Statement: To make tax planning simple, personalized, and continuous for every Indian taxpayer, empowering them to save more, stay compliant, and make informed financial decisions throughout the entire year.

3. Target Audience & User Personas

3.1 Primary Audience

3.1.1 Persona A: Early-Career Salaried Professionals (Age 22–26)

- **Profile:** First or second job; limited prior exposure to taxation systems.
- **Pain Points:** Confused by tax jargon (Section 80C, 80D, HRA, slabs, Old vs. New tax regime).
- **Needs:** Simple, actionable, beginner-friendly guidance with zero math friction.
- **Behaviour:** High mobile app usage, low financial literacy, prefers short explainer content.

3.1.2 Persona B: Mid-Level Salaried Employees (Age 26–32)

- **Profile:** Stable career income, basic knowledge of tax deductions, earning Rs.8L–25L CTC.
- **Pain Points:** Forget to plan early; overwhelmed by proof submission paperwork in March.
- **Needs:** Easy optimization, automated deduction insights, timely monthly reminders.
- **Behaviour:** Respond well to data-driven nudges and quick interactive recommendations.

3.2 Secondary Audience

3.2.1 Persona C: Freelancers & Creators

- **Profile:** Variable or irregular income streams; no fixed employer payroll structure.
- **Pain Points:** Hard to track presumptive tax deductions; unclear quarter-end advance tax obligations.
- **Needs:** Year-round income tracking and simple expense/deduction guidance.
- **Behaviour:** Adds financial data in intermittent bursts; requires clarity and minimal input friction.

3.2.2 Persona D: Active Retail Investors (Stocks, Mutual Funds, Crypto)

- **Profile:** Financially aware users with multi-asset investment portfolios.
- **Pain Points:** Complex capital gains calculations across multiple brokers and platforms.
- **Needs:** Unified capital-gains insights, tax-loss harvesting suggestions, regime impact analytics.
- **Behaviour:** Data-savvy; values detailed analytics, scenario comparisons, and exportable reports.

4. Competitive Landscape Analysis

App / Platform	Strengths	Gaps (Opportunity for Us)
ClearTax	Strong filing expertise and CA support network.	Weak in year-round engagement; generic seasonal planning.
INDmoney	Good capital-gains reports & broker sync.	Not beginner-friendly; no life-event tax guidance.
ET Money	Good 80C planning & educational blogs.	Limited personalization; no gamified tax score.
Quicko	Great for active traders & freelancers.	Not mainstream; low UX simplicity for simple salaried users.
TaxPulse (Us)	Continuous gamified tax planning & score engine.	First product offering 10-sec estimator + year-round Tax Score.

Table 1: Competitive Landscape Comparison Matrix

4.1 Key Strategic Takeaways

1. **Continuous Engagement Gap:** There is no existing fintech app that offers continuous, year-round tax planning instead of just filing support.
2. **Personalization Gap:** Users lack a unified platform that delivers smart, personalized tax insights tailored to their specific income composition.

3. **Gamification Gap:** A gamified Tax Score system that guides step-by-step improvement is missing in existing solutions.
4. **Progressive Profiling Gap:** Current applications do not offer smooth, progressive data collection that reduces drop-off friction.
5. **UX Simplicity Gap:** Most platforms fail to provide a simple, beginner-friendly UX with clear, jargon-free explainers.

5. User Stories for Tax Planning Module

US-01 (Simple End-to-End Planning): As a salaried user, I want to see my estimated tax and tax-saving options in a few simple steps so that I don't have to jump between calculators, blogs, and filing platforms.

US-02 (Compare Regimes Clearly): As a young professional, I want the app to tell me which tax regime (old vs. new) is better for my situation so that I don't have to manually compare slabs and deductions.

US-03 (Clean Capital-Gains View): As an investor using multiple brokers, I want a single dashboard that shows my total capital gains and taxable amount so that I don't depend on separate reports.

US-04 (Year-Round Nudges): As a user who forgets about tax till March, I want monthly or event-based nudges (job change, bonus, new investment) so that I can plan taxes throughout the year.

US-05 (Multi-Income Support): As a freelancer / creator with irregular income, I want the app to handle different income types (salary, freelance, business, trading) in one place.

US-06 (Guided Data Checklist): As a first-time filer, I want a guided flow that tells me exactly which details and documents (Form 16, rent, investments, loan interest) are needed.

US-07 (Transparent Reports): As an investor, I want downloadable tax reports (capital-gains and deduction summary) to be easily accessible and clearly priced or free.

US-08 (Human + AI Help): As a confused taxpayer, I want the option to ask questions or escalate to an expert from inside the tax planner so that I can resolve edge cases without leaving the app.

6. Goals & Objectives (AARRR Framework)

6.1 Acquisition Objective

Increase user acquisition by driving Module Activation among the app's overall MAU.

- **Target:** 20% of new users should try the Tax Planning Module within 30 days of onboarding.

6.2 Engagement Objective

Ensure users return and interact with tax insights regularly throughout the year.

- **Targets:** 30% weekly retention for users viewing tax insights; completion of the "Tax Score Setup". These metrics support a healthy WAU/MAU ratio and sustained engagement.

6.3 Data Collection Objective

Improve completeness of tax-relevant user data through a smooth, low-friction flow.

- **Targets:** 40% of users upload Form 16 or add salary; 40% add at least three tax inputs (rent, investments, insurance).

6.4 Monetisation Objective

Convert value-delivery into sustainable revenue via contextual cross-sell.

- **Targets:** 5–8% conversion to tax-saving products (ELSS, NPS, etc.); 2–4% conversion to tax filing or advisory services.

7. Features & Detailed Requirements Specification

7.1 Must-Have Features (Phase 1 MVP)

7.1.1 1. Quick Tax Estimator (10-Second Calculator)

- **Inputs:** Salary range slider, age bracket, city category (Metro/Non-Metro).
- **Output:** Estimated tax liability + potential saving amount + recommended tax regime.
- **Purpose:** Instant value leads to higher module activation and top-of-funnel engagement.

7.1.2 2. Tax Efficiency Score

- **Score Model:** 0–100 score calculated based on data completeness and deduction utilization.
- **Guidance Nudges:** "Improve your score by adding rent / 80C / health insurance".
- **Purpose:** Gamified hook that drives user return visits and increases profile data depth.

7.1.3 3. Personalized Tax Insights

- **Inputs:** Salary, investments, deductions, rent paid, insurance premiums, loan interest.
- **Example Insights:** "Save 26,500 more under 80C", "HRA optimization possible", "Switching regimes saves 18,000".
- **Purpose:** Actionable recommendations that directly increase user net savings.

7.1.4 4. Amendments & Adjustments Feature

- **Inputs:** New insurance, ELSS/PPF investments, home loan interest, salary revisions, job changes.
- **Output:** Auto-recalculates tax liability + Tax Score + tailored action suggestions in real time.
- **Purpose:** Ensures year-round tax accuracy whenever real-life financial events occur.

7.2 Nice-to-Have Features (Phase 2 & 3)

7.2.1 1. Form 16 / AIS Auto-Import

Upload Form 16 PDF or fetch AIS/TIS data via automated document parser to auto-fill tax fields instantly.

7.2.2 2. Monthly Tax Tracker Dashboard

Visual chart showing estimated yearly tax, deductions completed, and remaining opportunities.

7.2.3 3. Contextual Monetisation Suggestions

Smart, non-intrusive CTAs for ELSS funds, NPS, health/life insurance, and CA filing shown only after user receives value.

7.2.4 4. Multi-Income Support

Aggregates salary, freelance/consulting income, rental income, and capital gains across asset classes.

7.2.5 5. In-App Tax Assistant (AI Chatbot + Expert Connect)

Instant plain-English answers, guided steps, and direct escalation option to connect with a human CA expert.

8. Comprehensive KPI Summary

- **Acquisition KPIs:** Tax Module Entry Rate, CTR on Tax Planner banner, Cost Per Acquiring a Tax User.
- **Engagement KPIs:** Weekly Active Tax Users (WAU), Completion % of Tax Score setup, Insights Viewed per Session, Monthly Tax Tracker Usage %.
- **Data KPIs:** % of users adding salary/rent/investments, % profile completeness score, Number of Form 16 uploads.
- **Monetisation KPIs:** Conversion to ELSS / NPS, Conversion to insurance, CA filing purchases.

9. Prioritization & Execution Plan (RICE + MoSCoW Framework)

Phase 1 (MVP Launch): Quick Tax Estimator + Progressive Data Collection Checklist + Tax Score (0-100) + Basic Insights (80C, HRA, Regime Selection) + Monthly Tracker (Basic) + Multi-Income Support (Salary + Freelance + Rent) + Deep Old vs. New Regime Comparison Engine.

Phase 2 (Automation & Intelligence): Form 16 / AIS Auto-Import + Capital Gains Aggregator + Investment Optimizer + In-App AI Tax Assistant (Chatbot + Expert Connect).

Phase 3 (Long-Term Enhancements): Life-event automated triggers + WhatsApp notification integration + Year-end tax report generation + Family tax planning.

10. Constraints & Strategic Assumptions

10.1 Constraints

- **Data Security & Compliance:** Ensure end-to-end data security and regulatory compliance through AES-256 encryption, ephemeral document processing, and strict consent-based data isolation.
- **Data Accuracy Dependency:** User-entered financial data may be incomplete or incorrect, affecting insight quality.
- **Regulatory Volatility:** Frequent changes in Indian tax laws require the system to allow constant and rapid logic updates via microservices.
- **Time Sensitivity:** Must launch MVP before peak tax season (Feb–March) to capture maximum user intent.
- **Tech Limitation:** Limited direct access to employer payroll systems forces reliance on user uploads or manual entry.

10.2 Strategic Assumptions

- **Trust through Value:** Users will trust the application with sensitive data after experiencing immediate value from the Tax Score and initial insights.
- **Content-Led Acquisition:** Educational content will successfully attract young, financially illiterate salaried users.
- **Existing Funnel:** The parent fintech app has a sufficiently strong active user base to funnel traffic into this new module.
- **Progressive Profiling:** Users will progressively share more data (rent, investments) if friction is low and rewards (tax savings) are clearly visible.